ACC501 - Business Finance (Quiz # 3)

Question # 6 of 10 (Start time: 03:50:53 PM, 06 January 2026)

In which method of depreciation, we divide the cost of asset with its useful life?

Select the correct option

◉	Straight line
○	MACRS
○	Declining value
○	Sum of the years digit

ACC501 - Business Finance (Quiz # 3)

Question # 5 of 10 (Start time: 03:50:43 PM, 06 January 2026)

Suppose currently risk-free investments are offering 12% whereas the particular investment is offering 18%. What is the risk premium?

Select the correct option

○	30%
○	12%
◉	6%
○	8%

ACC501 - Business Finance (Quiz # 3)

Question # 2 of 10 (Start time: 03:49:30 PM, 06 January 2026)

Which of the following can be calculated if, average net income is divided by average book value?

Select the correct option

- ○ NPV
- ○ IRR
- ○ Payback period
- ◉ AAR

ACC501 - Business Finance (Quiz # 3)

Question # 3 of 10 (Start time: 03:49:45 PM, 06 January 2026)

One would be indifferent between taking and not taking the investment when:

Select the correct option

○	NPV is less than Zero
○	All of the given options
◉	NPV is equal to Zero
○	NPV is greater than Zero

ACC501 - Business Finance (Quiz # 3)

Question # 4 of 10 (Start time: 03:50:28 PM, 06 January 2026)

_____ paid by corporation is tax deductible but _____ paid are not tax deductible.

Select the correct option

- (●) Interest; dividend
- ( ) Bonus; interest
- ( ) None of the given options
- ( ) Dividend; interest

ACC501 - Business Finance (Quiz # 3)

Question # 1 of 10 (Start time: 03:49:15 PM, 06 January 2026)

Internal Rate of Return (IRR) is sometimes referred to as:

Select the correct option

◉	Economic Rate of Return
○	Simple Interest Rate
○	Required Rate of Return
○	Compound Interest Rate

ACC501 - Business Finance (Quiz # 3) **Quiz Start Time: 03:49 PM, 06 January 2026**

Question # 10 of 10 (Start time: 03:51:51 PM, 06 January 2026) **Total Marks:** 1

Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. As per given information what will be the dividend yield ?

Select the correct option

- 9.92%
- 11.36%
- 21.12%
- 40.00%

ACC501 - Business Finance (Quiz # 3)

Question # 9 of 10 (Start time: 03:51:37 PM, 06 January 2026)

Which of the following is the most common capital budgeting technique?

Select the correct option

○	Internal Rate of Return
○	Net Present Value
○	Profitability Index
◉	Payback Period

ACC501 - Business Finance (Quiz # 3)

Question # 8 of 10 (Start time: 03:51:23 PM, 06 January 2026)

What will be the risk premium for a stock that has an expected return rate of 14% and a risk-free rate of 5% ?

Select the correct option

- ○ 24 %
- ○ 6 %
- ○ 15 %
- ◉ 9 %

ACC501 - Business Finance (Quiz # 3)

Question # 7 of 10 (Start time: 03:51:07 PM, 06 January 2026)

Total portfolio risk is equal to :

Select the correct option

○	systematic risk plus market risk
○	unsystematic risk plus diversifiable risk
◉	systematic risk plus diversifiable risk
○	systematic risk plus non-diversifiable risk